

NAIROBI SECURITIES EXCHANGE PLC

ANNOUNCEMENT OF AUDITED GROUP RESULTS

FOR THE YEAR ENDED 31 DECEMBER 2024

Summary Consolidated Statement of Profit or Loss and Other Comprehensive Income		
	2024	2023
	Audited	Audited
	Kshs '000	Kshs '000
Transactions levy - Equity	253,650	211,094
Transactions levy - Bond	169,881	64,395
Data vending income	101,299	116,569
Annual, initial and additional listing fees	69,508	69,838
Interest income	146,960	120,950
Broker back office subscription	33,023	27,944
Unquoted securities platform fees	1,037	2,439
Dividend from equity investment	8,279	8,013
Advisory fees	10,888	-
Other income	33,876	41,079
Total income	828,401	662,321
Staff costs	200,781	176,452
Systems maintenance costs	82,226	61,847
Depreciation and amortisation	39,107	37,720
Building and office costs	39,767	41,914
Directors' emoluments	50,262	47,922
Revaluation loss on property	20,778	27,500
Share of bond levy expense	37,487	20,096
Other operating expenses	202,859	182,587
Total expenses	673,267	596,038
Operating profit before ECL and fair value movements	155,134	66,283
Provision for expected credit losses (ECL) and bond mark to market valuation	(1,014)	(4,528)
Share of gain(loss) of associate	8,703	(19,429)
Profit before taxation	162,823	42,326
Taxation charge	(46,523)	(23,922)
Profit for the year	116,300	18,404
Other comprehensive income	15,832	23,597
Total comprehensive income for the year	132,132	42,001
Earnings Per Share* - Basic and diluted (Kshs)	0.45	0.05
*EPS based on no. of shares	260,634,541	260,452,401

Summary Consolidated Statement of Financial Position		
	2024	2023
	Audited	Audited
	Kshs '000	Kshs '000
Assets		
Property and equipment	403,608	404,657
Intangible assets	89,840	108,048
Investment in associate	176,036	166,151
Financial assets at fair value through other comprehensive income – Quoted equity instruments	147,771	133,121
Government securities at amortised cost	201,813	201,973
Financial assets at fair value through profit or loss -	133,096	241,324
Cash and bank balances and bank deposits	670,445	407,082
Other assets	328,203	365,708
Total assets	2,150,812	2,028,064
Equity and liabilities		
Share capital	1,042,538	1,041,810
Share premium	279,725	279,489
Revenue reserves	567,579	492,979
Non controlling interest	6,888	6,860
Other reserves	71,425	55,593
Non current liabilities	15,033	13,965
Other liabilities	167,624	137,368
Total shareholders' funds and liabilities	2,150,812	2,028,064

Summary Consolidated Statement of Cash Flows		
	2024	2023
	Audited	Audited
	Kshs '000	Kshs '000
Cash flows from operating activities		
Cash generated from(used in) operations	109,084	(3,874)
Tax paid	(17,291)	(27,905)
Cash generated from/(used in) operating activities	91,793	(31,779)
Cash (used in)/generated from investing activities	(249,391)	152,815
Cash used in financing activities	(39,932)	(56,950)
(Decrease)/increase in cash and cash equivalents	(197,530)	64,086
Cash and cash equivalents at the start of the year	318,806	250,234
Effect of foreign exchange rate changes	(5,755)	4,486
Cash and cash equivalents at the end of the year	115,521	318,806

Summary Consolidated Statement of Changes in Equity		Share capital	Share premium	Revaluation & Other reserves	Retained earnings	Non controlling interest	Total
		Kshs '000	Kshs '000	Kshs '000	Kshs '000	Kshs '000	Kshs '000
At 1 January 2023		1,041,567	279,459	31,996	526,654	17,366	1,897,042
Profit for the year	-	-	-	18,403	-	1	18,404
2022 dividend declared in the year	-	-	-	(52,078)	-	-	(52,078)
Other comprehensive income for the year	-	-	-	23,597	-	-	23,597
Reduction in NCI on increase in shareholding in AKS	-	-	-	-	(9,523)	(9,523)	-
Issue of shares to employee share ownership plan	243	30	-	-	-	-	273
2023 dividend declared by AKS Nominees Ltd	-	-	-	-	-	(984)	(984)
At 31 December 2023	1,041,810	279,489	55,593	492,979	6,860	1,876,731	
Profit for the year	-	-	-	116,272	28	-	116,300
2023 dividend declared in the year	-	-	-	(41,672)	-	-	(41,672)
Other comprehensive income for the year	-	-	15,832	-	-	-	15,832
Issue of shares to employee share ownership plan	728	236	-	-	-	-	964
At 31 December 2024	1,042,538	279,725	71,425	567,579	6,888	1,968,155	



OPERATING ENVIRONMENT IN 2024

According to the World Bank, Kenya’s Gross Domestic Product grew 4.7% in 2024 compared to 5.6% in 2023. Resilience in the agricultural and services sector was somewhat offset by restrictive macroeconomic policies which slowed private sector growth during the year.

Despite the challenging operating environment, Kenya experienced key macroeconomic developments that boosted investor sentiment. Notably, the successful settlement of Kenya’s USD 2 billion Eurobond debt alleviated concerns about potential defaults, restoring confidence in the country’s economic stability. The settlement also contributed to the recovery and stabilization of the Kenyan shilling, which strengthened against the US dollar, averaging Kshs. 134.70 in 2024, further supporting overall market performance.

The period under review marked a significant inflection point in the global economic landscape, as the long period of monetary tightening eased with various central banks reducing interest rates. The US Federal Reserve notably implemented three rate cuts in the final quarter of the year. This shift in monetary policy rejuvenated investor interest in equity markets, particularly across frontier markets, boosting their attractiveness and contributing to robust market performance.

MARKET PERFORMANCE

In 2024, the Kenyan equity market demonstrated remarkable resilience, achieving outstanding results that positioned the NSE as the best- performing market in Africa in dollar returns per the Morgan Stanley Capital International (MSCI).

Equity market turnover increased 20.10% to close the year at Kshs.105.97 billion, compared to Kshs. 88.2 billion recorded over a similar period in 2023. The Bamburi block trade, which took place in the fourth quarter of 2024, following the acquisition of a 96.54% stake in Bamburi Cement by Tanzanian conglomerate Amsons Group supported this increase. Year-on-year trading volumes in the equity market also grew by 32%, to 4.93 billion shares, up from 3.75 billion in 2023. During the year, market capitalization surged from Kshs.1.4 trillion to Kshs.1.9 trillion as share prices soared.

In the bond market, turnover soared by 140%, closing the year at Kshs. 1.5 trillion, up from Kshs. 643 billion in 2023. This marked a historic milestone, as the bond market crossed Kshs.1 trillion in cumulative turnover for the first time ever, reflecting another record-breaking achievement for the NSE in 2024. The strong performance reflected the positive outcomes of our market reforms that increased the efficiency and appeal of the bond market to global and domestic investors.

The Derivatives Market turnover rose to Kshs. 170.09 million representing a 165% increase compared to Kshs. 64.2 million in 2023. The total number of open positions held by investors peaked at 638 contracts valued at Kshs. 20.5 million in 2024, up from 449 contracts worth approximately Kshs. 10.1 million in 2023. The increase in activity reflects the growing appetite for risk management solutions and alternative investment products.

The NSE’s benchmark indices recorded their highest performance in over a decade. The NSE 20 Share Index surged by 33.94%, or 509.49 points, closing the year at 2,010.65. The NSE All Share Index (NASI) rose by 34.06%, or 31.37 points, to settle at 123.48. Similarly, the NSE 25 Share Index and the NSE 10 Share Index saw increases of 42.96% (1,022.57 points) and 43.50% (394.80 points), respectively, closing at 3,402.80 and 1,302.31.

In 2024, Kenya’s equity market achieved other significant milestones, including the addition of several companies to the MSCI Frontier Markets Indices. Eight new companies were added to both the MSCI Frontier Markets Index and the MSCI Frontier Markets Small Cap Index bringing the total to a record twelve. The additions are a reflection of improved market conditions and the country’s growing economic potential. Additionally, the NSE was upgraded from "restricted" to "pass" by the FTSE Russell Index Governance Board in March 2024, following the resolution of delays in institutional investors’ ability to repatriate capital and income.

FINANCIAL HIGHLIGHTS

The Group reported an increase in profit after tax of over 500% from Kshs.18.4 million in 2023 to Kshs. 116.3 million in 2024. This growth is attributed to an increase in equity transaction levy by 20% to settle at Kshs. 253.6 million in 2024 from Kshs. 211.1 million reported in 2023. In addition, bond transaction levy increased by over 100% to Kshs. 169.9 million in 2024 from Kshs. 64.4 million reported in 2023. Interest income increased from Kshs. 120.9 million in 2023 to Kshs. 147 million in 2024. Total expenses increased by 13% from Kshs.596 million in 2023 to Kshs. 673 million in 2024. This was mainly driven by the impact of the weakening of the Kenya shilling on foreign currency denominated expenses in the first half of the year and cost of market support activities.

Total investable funds stood at Kshs. 1 billion up from Kshs. 850 million in 2023 and is inclusive of the regulatory restricted funds amounting to Kshs. 292.6 million. Return on assets and return on equity improved from 0.9% and 1% respectively in 2023 to 5.4% and 5.9% in 2024.

OUTLOOK FOR 2025

The NSE initiated its 2025 - 2029 strategy. Anchored on our new purpose of inspiring Africa’s transformation, our new strategy represents a bold and ambitious future for the NSE that will position the business for long-term success. This transformative journey is focused on three strategic pillars of revitalizing the markets, optimising organizational effectiveness and harnessing technology.

In 2025, our primary focus will be on laying a strong foundation for the execution of our new strategy, with a particular emphasis on achieving key milestones that are crucial to the realization of our goals. These include greater focus on mobilising domestic and diaspora retail investors, upgrading our market trading infrastructure and introducing a wider variety of products and services.

We plan to overhaul our technology operations in 2025 and embrace a Software-as-a-Service (SaaS) model by partnering with technology solution providers to strike the right balance between operational and capital expenditures. This is a key component of our new strategy which aims to reduce overall technology costs while positioning the NSE as a technology hub for capital market innovations.

To drive new listings and issuances, we have initiated a sector-based business development approach that will provide comprehensive support and guidance to issuers.

In 2025, the NSE will launch Options on Futures as part of its strategy to expand and deepen the derivatives market following approval from the Capital Markets Authority. The introduction of Options will broaden the range of financial products available to market participants, enabling more advanced risk management strategies and investment opportunities. This initiative responds to increasing market demand and strategically positions the NSE as a leading derivatives market in the region.

The NSE will also continue to collaborate with Government, supporting the privatization of state-owned enterprises and exploring innovative funding models, including public-private partnerships. We firmly believe that Government has a strong part to play in the development of the capital markets.

We will retain adequate funds to finance the growth initiatives outlined in the new 2025-2029 strategy. These strategic initiatives include the extensive upgrade of our trading technology, enhancing marketing and business development efforts, designing and launching new products and services, and making strategic investments or acquisitions. We remain fully committed to delivering on our strategic priorities and driving sustainable growth to maximize shareholder value.

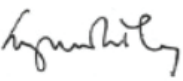
ANNUAL GENERAL MEETING

The Annual General Meeting of the Nairobi Securities Exchange Plc will be held on 21st May 2025. Further information will be sent to shareholders ahead of the Meeting.

DIVIDENDS

The Board of Directors recommends to the members at the forthcoming Annual General Meeting the payment of a first and final dividend of Kshs. 0.32 per share (2023: Kshs. 0.16 per share) to be paid by 31st July 2025 to members on the register at the close of business on 21st May 2025.

The financial statements were approved and authorised for issue by the Board of Directors on 27th March 2025 and were signed on its behalf by:


Mr. Kiprono Kittony, EBS Chairman


Ms. Isis Nyong'o Director